

going to be extinct soon. It was important to listen to what our customers were saying and how we wanted to relook at ourselves in order to stay relevant,” he says.

What separates it from the competition, Banerjee says, is that CEAT has always seen itself as a business-to-consumer (B2C) company, even though a major chunk of its business is business-to-business (B2B), catering primarily to two- and four-wheeler original equipment manufacturers (OEMs), and truck and bus fleet firms. So it has placed a premium on brand connection. Take CEAT’s association with cricket, for example. It’s a source of nostalgia for fans from the ’90s, who fondly remember the CEAT Cricket Ratings. And RPG Enterprises’ flagship company has seamlessly woven itself into the lives of fans of a more recent vintage as the sponsor of the Indian Premier League’s ‘Strategic Timeout’.

On the business side, too, CEAT has been agile in anticipating customer demand, moving swiftly into a gap it saw in the electric two-wheeler market. That’s in addition to its dominance in the two- and three-wheeler tyre market. Besides, in FY23, its net profit more than doubled after a big fall the previous year. The company’s shares, too, have delivered smart returns of 51.1 per cent in the year to January 10, 2024.

76 | CEAT isn’t showing any signs of slowing as it looks to consolidate its dominance, especially in the two-wheeler tyre market, which market research firm TechSci Research expects to grow to \$3.94 billion by FY27 from \$2.11 billion in FY21, at a CAGR of 10.53 per cent. This is

a huge opportunity for market leader CEAT, which has the lion’s share of 33 per cent in the segment, according to industry estimates, as it targets a top line of ₹17,000 crore in the next three years.

THE ELECTRIC BET

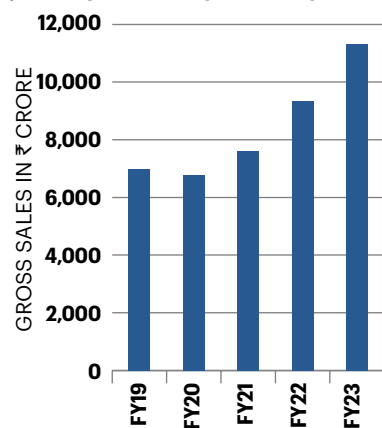
For Anant Goenka, Vice Chairman of RPG Group, keeping pace with technology is one of the biggest challenges, but it also represents one of the biggest opportunities. “Whether it’s looking at AI (artificial intelligence)-based applications or reskilling people, my leadership style is more about giving people a lot of freedom and keeping pace with the values of our organisation, which for CEAT is making mobility safer,” he says.

Goenka, who made way for Banerjee after holding the MD’s position for more than 12 years, now broadly looks at capital allocation, investment, strategy, and organisation culture. He says creating the right tyre for India’s EV market will be a priority. “Our R&D facility in Frankfurt keeps us abreast of the latest technology in Europe and trends that will become big. Sustainability is another broad trend. Recycling tyres will also become important,” he adds.

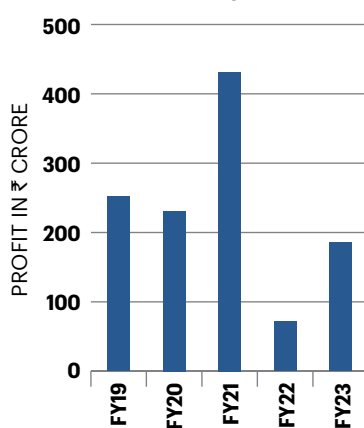
Banerjee emphasises CEAT’s robust presence in the two-wheeler market as proof of its ability to make things click. He aims to increase market share to 37-40 per cent in the two- and three-wheeler space by FY26. “We’ve been looking at the EV market for the last five to six years. The requirements here are very different;

RESURGENCE

● CEAT’s sales have been on a generally consistent upward journey over the past five years



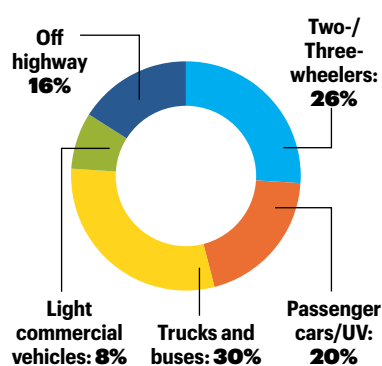
● Its profits, however, have fluctuated, with a sharp dip in FY22 and a recovery later



NOTE CONSOLIDATED RESULTS **SOURCE** ACE EQUITY

MONEY-SPINNERS

● Trucks and buses segment has the highest share in revenues
● It sees the passenger cars segment, that has a 20% share, as the next big growth driver



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